

AI Governance & Risk Management Assessment Checklist

JFSC-aligned assessment covering governance, risk management, customer protection and regulatory compliance for business AI deployments.

Area	Assessment Question	Key Considerations	Status	Comments / Actions
Governance	Named owner assigned	• Has a responsible individual been formally appointed? • Does that individual understand the AI solution and associated risks? • Are escalation and incident responsibilities clearly defined?	☐ Yes ☐ No ☐ N/A	
Governance	Board oversight established	• Has management or the Board approved the AI use case? • Has the use case been risk-rated? • Is periodic reporting provided to management?	☐ Yes ☐ No ☐ N/A	
Inventory	AI register maintained	• Are all AI tools and models recorded?	☐ Yes ☐ No ☐ N/A	

		• Are owners assigned to each use case? • Are review dates documented?		
Risk Management	AI use case risk assessed	• Could outputs affect customers, investors or counterparties? • Could the use case create regulatory or compliance risks? • Have operational, reputational and financial risks been considered?	☐ Yes ☐ No ☐ N/A	
Data & Privacy	Data protection review completed	• Will personal data be entered into the AI solution? • Will confidential client or business information be processed? • Have retention, storage and cross-border transfer requirements been assessed?	☐ Yes ☐ No ☐ N/A	
Data & Privacy	Data quality validated	• Is the data accurate, complete and current? • Could poor-quality data affect outcomes? • Are validation and quality-assurance checks performed?	☐ Yes ☐ No ☐ N/A	
Cybersecurity	Security controls	• Are user access	☐ Yes ☐ No ☐ N/A	

	assessed	controls appropriate? • Is activity logged and monitored? • Has the provider security posture been assessed?		
Third Parties	Vendor due diligence completed	• Who owns the model and outputs? • Where is data stored and processed? • Are subcontractors or processors appropriately controlled?	☐ Yes ☐ No ☐ N/A	
Regulatory Compliance	Human review retained	• Are regulated outputs independently reviewed? • Could AI outputs bypass existing controls? • Is sufficient evidence retained to support decisions?	☐ Yes ☐ No ☐ N/A	
Regulatory Compliance	Regulatory reporting review completed	• Is AI used in regulatory submissions? • Are assumptions independently verified? • Is a clear audit trail retained?	☐ Yes ☐ No ☐ N/A	
Consumer Protection	Bias/fairness assessed	• Could outcomes disadvantage customers or groups?	☐ Yes ☐ No ☐ N/A	

		• Has bias testing been performed? • Are customer outcomes monitored?		
Consumer Protection	Human intervention available	• Can decisions be challenged or overridden? • Are escalation routes documented? • Is human review mandatory for higher-risk decisions?	☐ Yes ☐ No ☐ N/A	
Transparency	Decision process explainable	• Could rationale be explained to customers? • Could rationale be explained to the JFSC? • Is supporting documentation retained?	☐ Yes ☐ No ☐ N/A	
Training	Staff training completed	• Do users understand approved uses? • Do users understand limitations and hallucinations? • Are prohibited uses clearly communicated?	☐ Yes ☐ No ☐ N/A	
Monitoring	Incidents and errors logged	• Are errors and complaints recorded? • Are trends analysed and reported? • Are remediation	☐ Yes ☐ No ☐ N/A	

		actions tracked?		
Review	Annual review scheduled	• Is the risk assessment periodically reviewed? • Has the use case changed since approval? • Do controls remain proportionate to risk?	☐ Yes ☐ No ☐ N/A	

AI Register & Assessment Summary

AI Tool	Purpose	Owner	Risk Rating	Next Review	Status

Top Risks Identified:

Key Controls Implemented:

Remediation Actions & Target Dates:

AI Maturity Score (1-5): ☐1 Initial ☐2 Developing ☐3 Defined ☐4 Managed ☐5 Optimised

1 Initial: Ad hoc use. 2 Developing: Basic controls. 3 Defined: Formal policies. 4 Managed: Ongoing monitoring. 5 Optimised: Continuous improvement.

